AI Trading Analysis Report

AAPL

Apple Inc.

Generated: October 27, 2026 (data as of 10/27 close, $347.10)

Trade Score: 64/100 (Grade: B)

Signal: HOLD

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Score Dashboard

Composite Trade Score: 64/100 | Grade: B | Signal: HOLD

Category	Score	Weight	Status
Technical Strength	73/100	25%	Strong
Fundamental Quality	72/100	25%	Strong
Sentiment & Momentum	54/100	20%	Mixed
Risk Profile	58/100	15%	Mixed
Thesis Conviction	55/100	15%	Mixed

Technical Overview

Key Levels

Level	Price	Notes
Resistance 3	$365.80 - $374	Fib 1.272 ext / measured move of base
Resistance 2	$350.74 - $351.73	Upper Bollinger + all-time high (10/23)
Resistance 1	$348.36	10/22 high; supply at $346-348
Current Price	$347.10	10/27/2026 close
Support 1	$338.70 - $341	10/20 swing low, EMA/SMA20, Fib 23.6%
Support 2	$329.40 - $333	Swing low, SMA/EMA50, Fib 38.2%, implied-move low
Support 3	$300 - $302	Aug post-earnings low, EMA200

Indicator Readings

Indicator	Value	Interpretation
Trend	Uptrend	Price > EMA20 341.0 > EMA50 332.7 > EMA200 301.8, all rising; higher lows 300 / 329 / 339
RSI (14)	61.1	Rising (50.9 -> 61.1 over 20 days), room before overbought
MACD	4.20 vs 4.10	Fresh bullish cross, histogram only +0.09 (weak)
Stochastic	%K 78 / %D 74	Near overbought
Volume / OBV	39.1M vs 39.0M avg	OBV +179M shares in 20d = accumulation; participation flat
Bollinger	Width 0.063	Squeeze vs 6-month median 0.115; earnings likely trigger
50/200 SMA	+$36 spread	Golden cross intact
Rel. Strength	1y +32.6% vs SPY +14.9%	Leads on 6m/1y, lags on 3m (+2.7% vs SPY +5.8%)

Fundamental Overview

Key Metrics

Metric	Value	Sector Avg	Assessment
Trailing P/E (GAAP)	39.8x	5y avg ~30.7x	~30% above own history
Forward P/E	35.2x	Hardware ~17.5x	~2x sector
PEG (fwd)	~4.4	5y avg ~2.7	Expensive
P/FCF	36.7x	10y median 25.7x	Rich; FCF yield ~2.7%
Revenue Growth (FQ3 YoY)	+16.4%	FQ4 guide +9-11%	Strong, guided to slow
EPS Growth (FQ3 YoY)	+29%	n/a	+22% ex-tariff refund
Gross Margin	50.1%	FQ4 guide 47-48%	48.1% ex-refund; memory squeeze
Operating Margin (TTM)	~33%	n/a	Exceptional
Net Cash	~$62B	D/E 0.78	Fortress balance sheet

Valuation Assessment

Significantly overvalued on every multiple (Valuation 4/20) while business quality is near the top of the scale (Profitability 18, Health 17, Moat 19). Forward EPS of $9.57 implies only ~8% growth over FY26E ~$8.89, yet the stock trades at 35x forward, 40x trailing and above the $340 consensus target. FQ3 EPS of $2.02 included a $0.11 tariff refund; gross margin included ~2pts of the same one-off.

Competitive Moat

Moat Rating: Wide

- Ecosystem switching costs; installed base at an all-time high
- Brand and pricing power (iPhone Duo opens a ~$1,999 tier)
- App Store / Services platform growing ~12% a year
- Custom silicon IP and supply-chain scale

Investment Thesis

Bull Case

1. iPhone Duo ramp: preorders sold out, build target reportedly raised ~44% to ~14M units (unconfirmed)
2. Services +12% plus Gemini-powered Siri due by year-end opens a new AI/subscription leg
3. ~$137B FCF and $62B buybacks in 9 months shrink share count; ~$62B net cash
4. Rising MA stack, higher lows and a Bollinger squeeze just under the all-time high
5. Analysts raising targets: JPMorgan $360, BofA $370, Evercore $380

Bear Case

1. Reported ~15% cut to iPhone 18 Pro component orders; Duo may cannibalize Pro Max
2. Gross margin guided to 47-48% from a tariff-flattered 50.1%; memory squeeze until 2027
3. 40x trailing, PEG ~4.4, price above the $340.39 consensus target
4. High earnings bar: consensus revenue above implied guide; 8 of last 13 prints traded down, last one -7.35%
5. Regulatory tail: appeal to ban Google search payments (~$20B/yr), EU DMA, App Store, DOJ

Catalyst Timeline

Event	Expected Date	Potential Impact
FQ4 earnings + Dec-qtr guide	Nov 2, 2026	Very high: implied +/-4.5%
Ex-dividend ~$0.27 (est.)	~Nov 9, 2026	Low
Holiday / Duo sell-through	Late Nov-Dec 2026	Medium
Gemini-powered Siri	By Dec 31, 2026	Medium-High
FQ1 FY27 report	Late Jan 2027	High

Entry / Exit Strategy

Parameter	Level
Entry Zone	**After Nov 2: $331-338 dip / $352-358 breakout**
Price Target	**T1 $365, T2 $374-400**
Stop Loss	**$327 (dip) / $338 (breakout)**
Timeframe	**3-6 months**

Risk & Position Sizing

Risk / Reward Analysis

Risk Metric	Value
Risk/Reward Ratio	**~1.1:1 now; ~4:1 on $331-338 dip**
Recommended Position Size	2-3% (cap 5%), risk <=0.5% of equity
Max Drawdown Scenario	-7.4% earnings gap; -33% worst case
Volatility Profile	ATR 1.83%, HV30 15.6%, implied +/-4.5%
Market Correlation	Use beta ~1.1 (short-window 0.29 distorted)

Position Sizing Methodology

Fixed-fractional: shares = 0.5% x equity / (entry - stop). Size for a -7% to -8% overnight gap, not just the stop distance, because stops cannot fill inside an earnings gap. Existing holders: trim to ~2% or collar before Nov 2 (rich implied volatility helps pay for puts). Kelly not computed: no validated win rate or payoff estimate.

Scenario Analysis

Scenario	Probability	Expected Return	Trigger
Bull Case	30%	**+15% ($400 by Apr 2027)**	Strong Dec-qtr guide, Duo ramp, Gemini Siri ships
Base Case	45%	**+4% ($360)**	In-line print, guide near consensus
Bear Case	25%	**-13% ($302, 1-3 months)**	Guide miss, gross margin below 47%, Pro demand weakness confirmed

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